

RE07 Global Infrastructure Investment and Management

Week 5

Intermediation and Deal Brokerage

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Guest session: a fund manager and a principal investor

What this week does

Week 4 built the transaction. This week asks who assembles it, what they are paid, and whether the payment corresponds to anything. Intermediation is the least examined part of infrastructure finance and the most expensive: on a large transaction the advisory and arranging fees run to tens of millions before a spade enters the ground. The week is built around a single question, which is what those fees buy.

A	Why intermediaries exist	30 min
B	The advisers, one by one	35 min
C	Arranging, underwriting and syndication	35 min
D	Fees: what is charged and who actually pays	35 min
E	Does the intermediary add value	40 min
F	The transaction process end to end	30 min
G	Principal against intermediary: the guest debate	30 min

What you already have

Where this week draws on modules you have taken, or are taking now. Nothing below is assumed: each idea is stated in full before the module is named.

Your programme	Where it was taught	What it gives this week
Real Estate Finance	RE02 Michaelmas lecture 4, information and market efficiency; lecture 2, space and capital markets and pricing processes. Lent lectures 6 and 7, fees and performance, liquidity and pricing. RE01 sessions 12 and 13, securitisation structures and markets.	The theory of why intermediaries exist, and the fee structures of the vehicles through which most infrastructure is actually held.
Planning, Growth and Regeneration	PGR07 industry seminars with Buro Happold, the Cambridge Growth Company and MHCLG, and the consultancy report assessment. PGR01 Lent lecture 11, public engagement and planning conflicts.	You have already met this ecosystem in person. What you were not asked is what the advisers are paid and what they add, which is this week's question.
Environmental Policy	EP07 week 8, private governance of environmental problems. EP02, environmental policy under asymmetric information. EP01 Lent week 8, non-state actors in international climate law.	Certifiers, verifiers and standard-setters are intermediaries selling assurance. The principal and agent problem they solve is the same one an arranger solves.
Everyone	RM01 lecture 5, hedonic price modelling and omitted variable bias; lecture 6, qualitative dependent variable models.	The best evidence on whether brokers add value is a hedonic pricing problem with a selection issue. Every student in the room has the tools to interrogate it.

Block A

Why intermediaries exist

Search, information asymmetry, agency, and the reasons a market does not simply clear.

Indicative length 30 minutes

The question, stated so that it can be answered

A pension fund has capital. A government has a project. Both want the transaction to happen. Between them sit financial advisers, arrangers, legal counsel, technical consultants, insurance brokers, rating agencies and model auditors, and they collectively take a substantial share of the money raised.

The naive question is why. The better question is what specific friction each of them removes, because an intermediary that removes no friction is a tax, and one that removes a large friction cheaply is worth every basis point. This block supplies four frictions, and the rest of the week checks each intermediary against them.

Four frictions, and what each one implies

Search

Counterparties do not know each other exists. Someone who knows both sides of a thin market creates value simply by matching them.

Information asymmetry

The seller knows more than the buyer, and cannot credibly say so. A third party with a reputation to protect can certify what the seller cannot.

Verification cost

The information is available but expensive to check. One specialist checking once for many parties is cheaper than each party checking separately.

Agency and coordination

Multiple parties must act together and each would prefer the others move first. An intermediary that assembles the group solves a coordination problem.

The test

For any adviser, ask which of the four it removes and whether its fee is smaller than the cost of the friction. Where the answer is neither, the fee is rent.

The theoretical anchor

12,672

Syndicated loan deals analysed by Sufi to establish how information asymmetry shapes the structure of a lending syndicate.

Sufi studies a sample covering 4,687 United States non-financial firms between 1992 and 2003 and finds a clear pattern. Where a borrower requires more intense due diligence and monitoring, the lead arranger retains a larger share of the loan and forms a more concentrated syndicate.

Where information asymmetry is potentially severe, participant lenders are closer to the borrower geographically and through previous lending relationships. Reputation, of both the lead bank and the borrower, mitigates the problem without eliminating it.

The reading is that syndicate structure is not administrative. It is a response to an information problem, and the arranger's retained share is the mechanism by which it credibly says the loan is sound.

Certification, and why reputation is the asset

An intermediary that certifies quality is selling its reputation, which it accumulated slowly and can lose quickly. That asymmetry is what makes the certification credible: a bank that arranges a bad transaction damages a franchise worth far more than any single fee.

This has a consequence students should notice. Certification value is not evenly distributed. A top-tier arranger has more reputational capital at risk and can therefore certify more credibly, which is why its involvement is worth paying for and why the market is so concentrated at the top. The empirical test of that claim is in block D.

Relationship and transaction intermediation are different businesses

A transactional intermediary is paid for a single match and moves on. A relationship intermediary invests in knowing a counterparty over years, and expects to be paid across many transactions rather than in any one.

The distinction matters because it changes the incentives. A transactional intermediary maximises the current fee. A relationship intermediary will sacrifice a fee to protect the relationship, which is why the same institution behaves differently towards a repeat client and a one-off one. Public authorities are almost always one-off clients, which is the structural weakness in their advisory relationships from block B.

Infrastructure is a thin market, and thin markets need matchers

A market with many buyers and many sellers of a standardised good does not need an intermediary; a screen will do. Infrastructure is the opposite: each asset is unique, each transaction is large, the number of credible counterparties is small, and much of the relevant information is private.

Under those conditions the search friction is severe. Somebody who knows which pension funds have appetite for a regulated asset this quarter, and which sponsor is willing to sell a minority stake, is genuinely creating value by matching them. That is the strongest single justification for intermediation in this sector and it should be conceded before the sceptical material begins.

Block A discussion

Seminar questions

1. Take three intermediaries from a transaction you know and identify which of the four frictions each removes. Where you cannot identify one, what is the fee for?
2. Sufi finds that arrangers retain more of the loan where information problems are worse. What would you expect to see in infrastructure, where the borrower has no history at all?
3. If certification value depends on reputation at risk, what should happen to fees after an intermediary is publicly associated with a failure?

Block B

The advisers, one by one

Legal counsel, the independent engineer, the insurance adviser, and what each actually produces.

Indicative length 35 minutes

The cast, and what each is paid to produce

Adviser	Appointed by	Output	Friction removed
Financial adviser	Sponsor or authority	Structuring advice, the model, the bid strategy	Verification and coordination
Legal adviser	Sponsors, lenders and authority separately	Documents, due diligence report, legal opinions	Verification and information asymmetry
Independent engineer	Lenders	Technical due diligence, construction monitoring, completion certification	Verification
Insurance adviser	Lenders and sponsors	Cover programme, adequacy report, claims support	Verification
Market consultant	Lenders and sponsors	Demand, resource or price forecasts	Verification, imperfectly
Model auditor	Lenders	Confirmation the model does what it is said to do	Verification
Rating agency	The issuer	An opinion on credit quality	Information asymmetry, at scale
Arranger	The borrower	Committed funds, a syndicate, and certification	Search, asymmetry and coordination

The legal adviser, through the stages of a deal

Gatti sets out what legal counsel actually does, and the answer is not drafting. Counsel forms the sponsor group and its shareholders agreement, develops the project documents that create the revenue, negotiates the finance documents, conducts the legal due diligence and produces the report lenders rely on, delivers the legal opinions without which no lender will fund, supports the syndication, and then remains through the operating period as the contracts require maintenance.

The legal opinion is worth singling out. It is a professional firm putting its own liability behind a statement that the documents do what they appear to do and are enforceable in the relevant jurisdiction. That is certification in the strict sense, and it is why an opinion from a firm with no assets would be worthless.

The independent engineer is the lenders' eyes

Lenders funding a construction project cannot verify progress themselves. The independent engineer, appointed by and reporting to the lenders, conducts initial technical due diligence, monitors construction, issues progress reports on which drawdowns depend, validates mechanical completion and the provisional and final acceptance certificates, and then monitors operations.

The role is a solution to a pure verification problem, and its structure is instructive: appointed by the party that needs the assurance, paid by the borrower, and required to be independent of both. That triangle appears repeatedly in this week, and it is the same triangle as a credit rating.

The insurance adviser, and what the cover actually does

- Advises on the programme required to make the project financeable, which is a lenders' specification rather than a commercial choice.
- Produces preliminary and final reports for the construction and operating phases, on which the finance documents rely.
- Handles the difficult areas, which are typically business interruption after a loss, cover for delay in start-up, and the limits of environmental liability.
- Places bonding, including performance and advance payment bonds from the contractor.
- Supports claims, which is when the value of the advice is actually tested and when the adequacy of the original programme becomes apparent.

Advisers to the public side, and why they are different

An authority procuring a transaction appoints transaction advisers, usually a consortium of financial, legal and technical firms, to prepare the project, structure it, run the procurement and evaluate bids. Delmon treats their appointment and management as a topic in its own right, and for good reason.

The public side is the weaker party in the advisory relationship. It transacts rarely, its advisers transact constantly, and it often lacks the capability to evaluate the advice it receives. The remedies are to appoint advisers early enough that they shape the project rather than justify it, to structure fees so that success is defined as a good transaction rather than any transaction, and to retain enough internal capability to be an intelligent client.

The rating agency is an intermediary with an unusual business model

A rating agency sells an opinion on credit quality to the market and charges the issuer for producing it. That structure exists because the opinion is a public good once published: investors would free-ride on any subscription model, so the issuer pays.

The conflict is obvious and has been examined at length. What sustains the model is the same thing that sustains arranger certification, namely a reputation worth more than any single fee. What weakens it is that the reputation is held across thousands of ratings while the fee is earned on each one, so the marginal incentive and the aggregate incentive point in different directions. Week 3's guests can speak to how the tension is managed in practice.

The model auditor, and why an audit of a spreadsheet is worth paying for

- A project financial model is the document from which debt is sized, ratios are calculated and the base case is agreed, and it is built under time pressure by junior analysts.
- The model auditor checks that the model does what its documentation says, that its logic is internally consistent, and that it correctly implements the term sheet and the tax and accounting treatment.
- The audit does not verify the assumptions. That is the market consultant's job, and confusing the two is a common and expensive error.
- It is a pure verification service and it is cheap relative to the exposure it protects, which is why lenders require it as a condition precedent rather than leaving it to the sponsor.
- Week 6 builds a model. The auditor's checklist is a good way to interrogate your own.

Forecasting for a fee

A market consultant produces the traffic forecast, the energy yield assessment or the price curve on which the entire financing rests. It is paid by a party with an interest in the answer, its work is relied on by lenders, and it is rarely liable for being wrong.

Given the week 1 evidence that demand forecasts are systematically over-optimistic, this arrangement deserves more scrutiny than it gets. The defences offered are that reputation disciplines the consultant and that lenders apply their own haircuts to the forecast. Both are partial. A haircut applied to a biased forecast is not the same as an unbiased forecast, and reputational discipline is weak where the outturn is observable only a decade later.

Conflicts across the adviser set

Relationship	The conflict	Usual mitigation
Adviser also arranges	Advice on financing plan may favour the plan it will be paid to arrange	Separate mandates, or disclosure and client waiver
Independent engineer paid by borrower	Appointed by lenders, paid by the party being monitored	Direct reporting line, and reappointment controlled by lenders
Market consultant paid by sponsor	Relied on by lenders, engaged by the party wanting a high forecast	Reliance letters, and lender-side review
Rating agency paid by issuer	Opinion sold to the market, fee paid by the subject	Reputation, regulation, and committee process
Contractor as sponsor	Return earned in construction, not in operation	Lenders require sponsor support and retention through completion

Block B discussion

Seminar questions

1. The independent engineer is appointed by lenders and paid by the borrower. Is that arrangement sound, and what would be better?
2. An authority appoints transaction advisers whose fee is contingent on reaching financial close. What behaviour does that produce, and how would you structure it instead?
3. Which adviser would you remove from a transaction if you had to remove one, and what would go wrong?

Block C

Arranging, underwriting and syndication

How a large loan is actually assembled, and what the arranger is doing that participants cannot.

Indicative length 35 minutes

Advisory and arranging are different jobs



Advisory

- Advises the sponsor on structure, financing plan and negotiation
- Paid a fee for the advice, generally with a success element
- Does not commit capital
- Can be a firm with no balance sheet at all
- Its product is judgement

Arranging

- Commits to provide the funds, then finds others to take most of it
- Paid an arranging fee expressed in basis points on the amount
- Commits capital, and is exposed if the syndication fails
- Requires a balance sheet, and a reputation
- Its product is certainty of funds, and certification

How a syndication is structured



- Single-stage syndication sells down to final participants in one process, which is quicker and gives the arranger less control over the final group.
- Two-stage syndication brings in a small group of sub-underwriters first and then distributes more widely, which reduces the arranger's exposure earlier.
- A club deal dispenses with syndication: a small group of banks that know the asset take their shares directly, with no underwriting risk and no arranging premium.
- Underwriting means the arranger commits the whole amount and is left holding what it cannot sell, which is why market conditions between commitment and syndication matter so much.
- Best efforts arranging avoids that exposure and gives the borrower no certainty, which is why it is used for weaker credits and in difficult markets.

Banks and institutional investors have learned to co-operate



Three models have developed. In the partnership or co-investment model, an institutional investor takes a share of loans originated by a bank, using the bank's origination capability without paying a fund's fees. In the securitisation model, loans are pooled and tranced so that institutions can buy the rated senior exposure. In the debt fund model, a manager originates directly and institutions invest through the fund.

Each is a different answer to the same problem: banks have origination capability and constrained balance sheets, while institutions have capital and no origination. Which model captures the value depends on who is scarce, and that has moved back and forth with the capital rules.

Where a bond issue puts the intermediaries

A project bond replaces a syndicate with a market, and replaces relationship monitoring with public disclosure. The cast changes accordingly: a bookrunner rather than an arranger, a rating agency doing publicly what a credit committee did privately, a trustee and paying agent holding the relationship the agent bank would have held, and a prospectus doing the work of a due diligence report.

The underlying functions are unchanged. Somebody must verify, somebody must certify, somebody must coordinate the holders after issue. The bond market performs them through different institutions with different economics, and comparing the two is the cleanest way to see that the functions, rather than the institutions, are what matter.

League tables, and what they actually measure

Arrangers are ranked by the volume they arrange, and the rankings are published, watched and used in pitches. Position in a league table is a real commercial asset because it is the cheapest available signal of the reputation that block A said certification depends on.

It is also a metric that can be managed. Volume is not quality, credit is given for roles of varying substance, and an institution that wants to rise can buy business by underwriting on thin terms. Students should treat a league table as evidence about market share and not about capability, and should notice that the studies which find certification value use tier as a proxy for reputation, which inherits the same weakness.

After financial close, somebody has to run the facility



- The agent bank administers drawdowns, calculates interest, collects and distributes payments, and holds the relationship with the borrower on behalf of the syndicate.
- It receives and circulates compliance certificates, monitors covenants, and convenes lenders when a waiver or amendment is required.
- The security trustee holds security on behalf of all secured parties, which prevents each lender from enforcing separately and destroying the asset.
- These roles are unglamorous, poorly paid relative to arranging, and are what makes a syndicate of twenty lenders workable as a counterparty for twenty-five years.
- They are also a coordination service in the block A sense, and among the clearest cases where the fee is obviously smaller than the friction removed.

Loans trade, and that changes the relationship



A loan sold in the secondary market moves from a lender that underwrote it to one that did not. The new holder has no relationship with the borrower, may have bought at a discount, and may have entirely different objectives in a restructuring.

For project finance this matters more than for corporate lending, because a project in difficulty needs its lenders to agree a solution quickly and a fragmented, unfamiliar syndicate is far harder to assemble. Borrowers therefore negotiate transfer restrictions, and lenders resist them, and where the restriction ends up is a good indicator of which side had the stronger position at close.

Block C discussion

Seminar questions

1. A borrower is offered an underwritten facility at a higher fee and a best-efforts facility at a lower one. When is the higher fee worth paying?
2. Club deals have no arranging premium. Why has the club structure not displaced syndication entirely?
3. Compare the intermediation cost of a bond issue and a syndicated loan for the same project. Which is cheaper, and does cheaper mean better?

Block D

Fees: what is charged and who actually pays

The fee stack, the worked example, and the empirical evidence on certification.

Indicative length 35 minutes

The fee stack on a syndicated project financing

Fee	Paid to	Basis	What it is for
Advisory fee	The financial adviser	Fixed, with a success element	Judgement and structuring
Arranging fee	The lead arranger	Basis points on the facility	Commitment, certification and distribution
Underwriting fee	The underwriters	Basis points on the amount underwritten	Bearing the risk that syndication fails
Participation fee	Participating banks	Basis points on their share, tiered by size	Inducement to join
Agency fee	The agent bank	Annual, fixed	Administering the facility for its life
Commitment fee	All lenders	On undrawn amounts	Compensation for holding capital available
Legal and technical costs	Advisers	Time and materials	Verification

Who pays for certification

\$769bn

Value of the 4,122 project finance loans arranged between 1991 and 2005 analysed by Gatti, Kleimeier, Megginson and Steffanoni.

The paper asks whether certification by a prestigious arranger creates economic value, and finds that it does. Loans arranged by top-tier banks carry lower overall spreads than those arranged by less prestigious institutions.

The more surprising finding is about who pays for that certification. It is not the sponsors. It is the banks participating in the syndicate, who allow top-tier arrangers to retain a larger fraction of the upfront arranging fees.

That is a precise, quantified account of an intermediation service: the participants are buying assurance from the arranger, and they pay for it by conceding fee share rather than by writing a cheque.

The management fee and carried interest, restated as a question

An infrastructure fund charges a management fee on committed or invested capital and takes a share of profits above a hurdle. Over a ten-year fund life on a large commitment, the aggregate is a substantial fraction of the gross return.

The question is not whether that is a lot of money. It is what the four frictions from block A say about it. A general partner performs search, because it sources transactions the investor could not. It performs verification, because it diligences them. It performs coordination, because it assembles consortia. Whether those services are worth the fee is an empirical question and the answer plainly varies by manager. What is not defensible is treating the fee as the price of access and declining to ask what it buys.

A worked fee example, in outline

Item	Basis	Illustrative amount
Facility	Senior debt raised	500
Arranging fee	100 basis points on the facility	5.0
Underwriting fee	35 basis points on the underwritten amount	1.75
Participation fees	Tiered, 20 to 40 basis points on takes	1.4
Financial advisory	Fixed plus success element	2.5
Legal, technical, insurance, model audit	Time and materials	4.0
Total	As a percentage of the facility	About 2.9 per cent

How fees are actually negotiated

Very little of the fee stack is posted. Arranging and underwriting fees are negotiated against market conditions and the borrower's alternatives, participation fees are set to clear the syndication, and advisory fees are set by competition among a small number of firms who know each other's pricing.

The borrower's leverage comes from having a credible alternative, which in practice means running a competitive process for the mandate rather than appointing the bank that brought the idea. Sponsors who do this routinely pay materially less, and the reason more do not is that the bank which brought the idea expects the mandate and will not bring the next one if it does not receive it. That is a relationship intermediation equilibrium and it is expensive.

The public side pays fees too, and discloses them differently

An authority procuring a transaction pays its own advisers, and it also pays the private side's bid costs indirectly through the price it accepts. Neither is usually reported as a cost of the project.

Transparency here is worse than on the private side, because a private sponsor at least knows what it paid. Public reporting typically discloses the capital cost of the asset and not the transaction cost of procuring it, which means the total cost of the intermediation this week describes is not systematically observable anywhere. That is a legitimate research question and it would make a good dissertation.

Block D discussion

Seminar questions

1. Gatti and colleagues find that syndicate participants pay for arranger certification through the fee split. Why would a participant pay rather than doing its own diligence?
2. Compute the difference between gross and net return for a fund charging one and a half per cent on invested capital and twenty per cent above an eight per cent hurdle, over a ten-year life. What has to be true for that to be worth paying?
3. If certification is worth basis points, should the certifier be liable when the certification proves wrong?

Block E

Does the intermediary add value

Three tests from three markets, and what they agree and disagree about.

Indicative length 40 minutes

A natural experiment on brokerage

AER 2009

Hendel, Nevo and Ortalo-Magné compare house sales made through a broker with sales made without one, in the same city over the same period.

The design is unusually clean. An active for-sale-by-owner platform operated alongside the conventional multiple listing service in the same city, so comparable houses could be sold either way.

Prices achieved without a broker were no lower than those achieved through the listing service. But selling without a broker took longer and was less likely to result in a sale at all, and patient sellers sorted into the unbrokered channel while patient buyers transacted on the brokered one.

The intermediary, on this evidence, is not selling a higher price. It is selling speed and certainty of execution, which are worth a great deal to some sellers and nothing to others.

When adviser quality is worth paying for

Only sometimes

Golubov, Petmezas and Travlos on the value of top-tier financial advisers in mergers and acquisitions.

Contrary to earlier studies, they find that top-tier advisers deliver higher returns to bidders, but only in public acquisitions, where the adviser's reputational exposure and the skills required are greatest. In private deals the effect disappears.

The improvement comes from two sources: top-tier advisers identify combinations with greater synergies, and they capture a larger share of those synergies for their client.

The conditional result is the interesting one. Adviser quality pays where reputation is on the line and the task is hard, and does not where the transaction is simple or the scrutiny is low. That is a testable proposition about any advisory market, including infrastructure.

The third test, from the practitioners themselves

Demirag, Khadaroo, Stapleton and Stevenson interviewed the equity and senior debt providers financing private finance projects in the United Kingdom, and recorded how they perceived and priced risk.

What emerges is a picture of intermediation that the theoretical literature does not capture: financiers relying heavily on the assurance produced by other parties in the chain, a widespread assumption that somebody else has checked, and risk perceptions shaped by the structure of the network rather than by independent analysis. It is a useful corrective. Certification chains can propagate confidence as easily as information, and a market in which everyone is relying on everyone else's diligence is more fragile than its documentation suggests.

Three tests, three answers

Study	Market	Design	Finding
Hendel and others (2009)	Residential property	Two channels, same market and period	The broker sells speed and certainty, not price
Golubov and others (2012)	Mergers and acquisitions	Cross-section by adviser tier and deal type	Quality pays where reputation is exposed, not otherwise
Gatti and others (2013)	Project finance loans	4,122 loans, spreads and fee splits	Certification lowers spreads, and participants pay for it
Demirag and others (2011)	United Kingdom private finance	Interviews with financiers	Assurance is relied upon more than it is independently verified

What the evidence supports, stated carefully

Intermediaries in these markets are not selling a better price. They are selling execution, certification and access, and those are worth paying for under identifiable conditions: where the task is hard, where reputation is genuinely exposed, and where the alternative is that each party verifies separately at greater total cost.

Where those conditions do not hold, the fee is closer to a toll on access. The uncomfortable implication for infrastructure is that the conditions hold most strongly for arranging, where the evidence is clearest, and least strongly for the fund management layer, where the fees are largest and the evidence is thinnest.

Selection or treatment

Every study in this block faces the same threat. Better transactions may choose better intermediaries, in which case the observed association between adviser quality and outcome reflects who was hired rather than what they did.

The designs differ in how well they handle it. Hendel and colleagues come closest to a solution, because the two channels operate in one market and the sorting itself is observable and modelled. Golubov and colleagues address it through the conditional structure of the result, since a pure selection story struggles to explain why the effect appears in public deals and not in private ones. Gatti and colleagues rely on a large sample and on the fee split, which is hard to explain by selection at all.

What would settle the question for infrastructure

- A setting where comparable assets are transacted with and without an intermediary, which club deals against syndicated deals come closest to providing.
- An observable outcome that is not itself chosen by the intermediary, since spreads and fees are both negotiated by the party being evaluated.
- A long enough horizon to see whether the certified transactions performed better, which requires linking origination data to subsequent default data.
- A source of variation in intermediary presence that is unrelated to deal quality, such as a regulatory change or a bank exit from a market.
- None of these exists in a usable form for infrastructure at present, which is why the week borrows its evidence from adjacent markets. That is a limitation to state rather than to hide.

Block E discussion

Seminar questions

1. Hendel and colleagues find that brokers sell speed rather than price. Does that finding transfer to infrastructure transactions, and what would you look for to test it?
2. Golubov and colleagues find adviser quality pays only where reputation is exposed. Is infrastructure such a market?
3. If assurance is relied on more than it is verified, as Demirag and colleagues suggest, where in an infrastructure transaction is the chain weakest?

Block F

The transaction process end to end

Market sounding, competition, negotiation, and where value is created or lost.

Indicative length 30 minutes

The process, and who is doing what

Stage	What happens	Who leads
Preparation	Feasibility, structuring, documents, approvals	Transaction advisers to the authority
Market sounding	Testing appetite before the documents are fixed	Financial adviser, informally
Prequalification	Screening consortia for capability and capacity	The authority, on advice
Bidding	Consortia assemble, price and submit	Sponsors, with their own advisers and lenders
Evaluation and preferred bidder	Selection, and the beginning of the difficult part	The authority
Negotiation to close	Conditions precedent, final credit approvals, execution	Everybody at once
Syndication	Distribution of the arranged debt	The arranger, after close or in parallel

Market sounding is the cheapest thing an authority can do

Before the documents are fixed, an adviser asks the market what it would bid for: which risks it will take, at what price, what would make it decline, and whether the timetable is credible. It costs very little and it prevents the most common procurement failure, which is launching a process the market will not bid for.

It is skipped for two reasons, both bad. Officials fear that talking to the market before a tender compromises fairness, which it does not if it is done openly and with all participants. And a project that has already been announced cannot easily absorb the answer that nobody will bid for it.

Where competition ends and negotiation begins

The moment a preferred bidder is appointed, the competition ends and a bilateral negotiation begins with a party that knows it. Everything not settled at that point is settled without competitive pressure, and the empirical record of preferred bidder periods is that costs rise and risk allocation moves in one direction.

The practical remedies are to settle as much as possible before selection, to keep a reserve bidder credible for as long as possible, and to be willing to return to the market, which authorities almost never are. The intermediation lesson is that the value an adviser adds is concentrated in the design of the process rather than in the negotiation, because by the negotiation stage the leverage has already gone.

A bidding consortium is a temporary firm

Four or five organisations with different objectives assemble to bid, spend a year and several million pounds, and dissolve if they lose. They must agree a price, a risk allocation between themselves, and a governance arrangement, all before knowing whether they will win anything.

Holding that together is a coordination service in the strict sense, and it is usually performed by the lead sponsor or its financial adviser. It is also where consortia most often fail: not on the bid economics but on the internal agreement, and particularly on what happens if one member wants to leave. The shareholders agreement students met in week 4 is the residue of that negotiation.

Exclusivity, and what it costs the party that grants it

An adviser or arranger will often ask for exclusivity: a period in which the client may not approach anyone else. The justification is that the work is substantial and speculative, and the adviser will not do it if the client can shop the output.

The cost is that the client gives up its only real source of pricing discipline. The reasonable compromise is a short exclusivity for a defined scope, with pricing agreed before it begins, and a clear right to go elsewhere afterwards. Where exclusivity is open-ended and pricing is settled later, the client has agreed to negotiate a fee with a counterparty it cannot leave, which is the position week 2 described a state being in after a preferred bidder is appointed.

Block F discussion

Seminar questions

1. Why do authorities so rarely return to the market when a preferred bidder's price rises?
2. Where in the process would you spend an extra hundred thousand pounds of advisory budget, and why there?
3. The arranger is exposed between commitment and syndication. Should the borrower pay for that exposure, or should the arranger not take it?

Block G

Principal against intermediary

A fund manager and a permanent capital investor, on what intermediation is worth.

Indicative length 30 minutes

The question the guests embody

One of this week's guests is an intermediary in the strict sense: a general partner standing between limited partner capital and the underlying assets, sourcing transactions, and charging a fee and a share of profits for doing it. The other is a principal with permanent capital, buying directly and holding indefinitely, with no fund life and no external investors to answer to.

They are not simply two practitioners from the same industry. They occupy opposite positions on the question the week has been asking, and the useful hour is the one in which that disagreement is made explicit rather than smoothed over.

The two positions

The intermediary's case

- Access. Transactions are sourced through relationships an investor cannot replicate at any reasonable cost
- Capability. An underwriting and asset management team is expensive and only justified at scale
- Diversification. A fund gives exposure to twelve assets where direct investment gives one
- Governance. Somebody has to sit on the board and manage the asset, and most investors cannot
- The fee is the price of all of that, and the alternative is not participating

The principal's case

- The fee compounds. Over a thirty-year hold it is the largest single deduction from return
- The fund life forces a sale at a date chosen by the calendar rather than by the market
- Alignment. A manager is paid on deployment and exit, not on holding a good asset well
- Information. The owner who runs the asset knows things a limited partner never will
- Permanent capital can do what a fund cannot, which is wait

Questions to put to the guests

- What proportion of the transactions you complete could the investor have found without you? Be specific.
- For the principal: what have you given up by not using managers, and when have you regretted it?
- For the manager: what would you charge if the fund had no fixed life, and would the model still work?
- Both: name a transaction that only happened because an intermediary made it happen, and one that was worse for having them.
- Both: which of the four frictions, search, information, verification or coordination, is the one you are actually paid to solve?

Block G discussion

Seminar questions

1. After hearing both, which of the four frictions is the fund manager actually removing, and is the fee proportionate to it?
2. A permanent capital investor can wait. What is the option value of being able to wait, and how would you estimate it?
3. If the evidence says intermediaries sell execution and certification rather than price, which of this week's guests is selling which?

Block H

Reserve material

Slides held back from the main sequence.

Indicative length As required

The gap this week does not fill

The syllabus lists valuation among the topics for this week, meaning valuation in the transaction sense: what an asset is worth in a sale rather than what a project's cash flows discount to. Neither the set texts nor the journal articles treat it, and the module reading list records the gap honestly.

Week 6 supplies project appraisal, which is a different thing. What is missing is the pricing of an operating asset in a bilateral negotiation, where comparables are scarce, the buyer and seller have different costs of capital, and much of the value turns on what each believes about the regulatory settlement after next. That material should come from the guests or be written before the module runs a second time.

Candidate cases for Week 5

Case	What it illustrates	Material
A large syndicated project financing	Arranging, underwriting, fee split and distribution	League tables and public deal reporting
A club deal for the same kind of asset	The market's own test of the arranging premium	Bank disclosures and trade press
A continuation vehicle	The manager selling to itself, and the conflicts in it	Secondary market commentary
A refinancing into the bond market	The same functions performed by different intermediaries	Prospectuses are public
An unsolicited proposal	A transaction with no competition and one adviser	National audit reports

Sources drawn on for this deck

- Gatti, S. (2024), Project Finance in Theory and Practice, chapters 4, 6 and 7.
- Delmon, J., Private Sector Investment in Infrastructure, chapters 7, 8 and 11.
- Flyvbjerg, B. (ed.) (2017), The Oxford Handbook of Megaproject Management, chapter 11.
- Abor, J. Y. and others (eds) (2025), The Routledge Handbook of Infrastructure Finance, chapter 12.
- Journal articles as cited on each slide.

Where Week 5 leaves us

An intermediary earns its fee by removing search, information, verification or coordination costs, and any fee not attached to one of those is a toll.

Certification is real and priced: prestigious arrangers lower spreads, and the syndicate rather than the sponsor pays for it.

The best evidence from adjacent markets says intermediaries sell execution and certainty rather than a better price.

The conditions under which intermediation is worth paying for hold most strongly where the evidence is clearest, and least strongly where the fees are largest.